

AberdeenGroup

Draft Profile

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Linuxcare, Inc. — Enterprise Service and Support for All Things Linux

[NOTE TO LINUXCARE: As we agreed, this draft will go into “hold status” until mid-October, when we will finalize the profile for a late-October print date.]

Preface

IT management already has contracts in place to address the myriad of daily issues for supporting Unix and Windows NT. For everything from porting existing applications to installing a new server, the same “who are you going to call” question that upper management asked about Unix and NT must now be answered for Linux. IT management needs 24 x 7, global support for everything from installation and upgrades to system development on Linux. Another pressing need is consulting help on how best to integrate and maximize this new business asset. **Top best utilize Linux,** IT departments also need to educate their internal training staffs, as well as to secure ongoing service and support. And, as enterprises begin implementing business- and mission-critical operations on Linux, they will require even greater specialized support. Enterprises need support beyond the kernel itself, into all the facets of drivers, utilities, and applications. A provider must be able to support Linux in the context of the customer’s infrastructure.

Aberdeen finds that many companies choose selective outsourcing agreements rather than large, all-in-one contracts. In doing so, they can retain control over their infrastructure by not delegating responsibility for their entire IT environment to one company. Also, they can choose best-of-breed expertise for each service required. In this *Profile*, Aberdeen describes Linuxcare, Inc., a firm specializing in providing enterprise-level Linux-focused service and support.

Executive Summary

Linuxcare was an early entrant into the Linux services and support market. Founded in 1998, the firm was initially a Linux consulting company, assisting other innovators with their Linux integration efforts. As word of the firm’s expertise spread, Linuxcare

found itself in demand by major system suppliers for training and education of their services staffs on Linux. Fueled by this early success, Linuxcare sought venture funding to build a full-fledged Linux specialist services firm. They have brought on senior management talent experienced in serving the needs of the Fortune 1000 and continue to recruit talent for each of their key areas of focus — technical support, professional services, education, and certification.

Successful in their search for funding — Kleiner Perkins Caulfield and Byers chose Linuxcare as its first Linux-related investment — the firm has set in place a well-thought out strategy for servicing the needs of the enterprise. Its strengths have been noted by other enterprise suppliers such as Dell, IBM, and Sun, all of whom have called upon Linuxcare on multiple fronts, including training and education of their inhouse staffs and contracting with Linuxcare for back-end Linux customer support. Other vendors, while not having a standing contract, turn to Linuxcare for consulting help when faced with complex Linux customer support questions.

Aberdeen finds that Linuxcare has assembled a strong product and services portfolio, lead by experienced management hands, which should be considered by IT technical and business executives who wish to begin utilizing Linux as an alternative enterprise OS. Challenges this young firm faces as it grows its base of accounts include growing technical and management headcount to handle the anticipated services, and support load and placing the necessary quality assurance metrics in place to monitor and maintain its current high levels of quality and service. With contracts already in hand — and more to come — from key hardware and software OEMs as well as service providers, Aberdeen views Linuxcare as having proven its viability as a source of Linux-and-beyond technical expertise. [Note: Customer and OEM interviews still in progress – this section will be finalized when interviews are completed.]

Linux Market Growth Drives Demand for Linux Services

Information technology (IT) departments are increasingly using Linux as the OS of choice in many business-critical solutions, such as for email, file 'n' print, and Web servers. Linux has emerged from the shadows of the IT infrastructure to be acknowledged as reliable and viable for powering low- to mid-sized server applications. Internet-born, Linux is also increasingly used for many Web-based server applications such as decision support, caching, storage, domain name services, and Web commerce. Independent software vendors (ISVs) have acknowledged end-user demand of Linux as an operating system alternative by announcing ports of major enterprise applications. Within the next year, IT managers will have a Linux-based alternative in every major application area.

Now that Linux has proven itself, Aberdeen finds that IT management is looking to deploy Linux downwards and outwards within the corporation. One issue, though, needs addressing prior to beginning larger, more pervasive deployment — the issue of service, support, and consulting expertise. Although technically technically adept

“gurus” within IT are handling initial deployment of Linux, these same users recognize that further deployment requires an increased level of assistance. Not only do IT departments need more internal personnel to be trained on Linux, they also need assistance to get the ball rolling. Their shopping list includes help with education, training, and daily service and support, as well as guidance in selecting the right Linux products, both hardware and software, for their business needs. Linuxcare Drives Towards One-Stop Linux Services

Linuxcare’s strategy is one of multiple interconnected fronts. Rather than one specific Linux distribution, Linuxcare supports the full spectrum of Linux, from the kernel to drivers of any kind to a specific distribution’s package manager. IT managers can choose the Linux distribution(s) that best fit their needs, confident that they will be able to get support from Linuxcare. Following through with this agnostic approach, Linuxcare supports all Linux hardware platforms, including Alpha, Intel, MIPS, PowerPC, Sparc, and StrongArm. Beyond the basics of hardware and OS support, Linuxcare has crafted an elite set of services that it refers to as its “centers of excellence.”

- A full range of Linux-oriented support services, including a 24 x 7 call center and on-site support service, complete with a bug report and tracking system. The call center’s troubleshooting feeds into Linuxcare’s evolving Knowledgebase, an on-line interactive support database which contains searchable answers to a wide range of questions, Frequently Asked Questions, patches and fixes, migration/porting tips, and links to related tech-help Web sites. While the call center and on-site services are fee-for-service, Knowledgebase is available to anyone at no charge via the Linuxcare.com Web site. Also, all of these services can be private-branded. For example, Dell links its Linux customers directly to Linuxcare through the www.dell.linuxcare.com Web site.
- Training and education via Linuxcare University to help management understand the value of Linux as an addition to their IT infrastructure assets and to “train the trainer.” In parallel with its own independent efforts to bring CEOs and CIOs up to speed on the business benefits of Linux, Linuxcare is also working with VA Linux Systems and IBM on their fall E-Seminar series. Training an enterprise’s technical instructors provides them with the knowledge to help internal staffs troubleshoot and deploy Linux. As part of this commitment, Linuxcare gurus are serving as technical editors for several soon-to-be-published Linux books.
- Porting and migration assistance via Linuxcare Labs so that Fortune 1000 firms have global expertise to call upon. Recruiting individual talent around the world, as well as purchasing specialized Linux consulting and development businesses, Linuxcare is creating a “virtual” Linux lab where

both simple and complex issues related to porting and migration are solved. Customers are helped via telephone, email, or on-site visits.

- Benchmarking and certification of Linux hardware and software, to give management confidence their IT choices will work with Linux. This function is just getting underway but Linuxcare already has a pipeline of requests from various vendors who would like to obtain a third-party stamp of approval for their products.

Professional Services Led By Veterans

Linuxcare's founders recognized early that seeking to be the Linux specialist services firm of choice for the enterprise meant having seasoned management talent that would balance and enhance their own well-regarded technical skills. To complement the technical leadership of the company's founders — Executive Vice President Arthur F. Tyde, III, Chief Technical Officer David L. Sifry, and Vice President of Marketing David LaDuke — in the last six months Linuxcare has fortified its management team with executives experienced in top quality IT service and support organizations. These executives include:

- Fernand Sarrat, President and CEO — Sarrat brings significant top level management experience in business development and provides formidable insight into services and support. The knowledge he gained as CEO of Cylink is complimented by 23 years of experience at IBM, where he was General Manager of Networking-Centric Computing Marketing and Services.
- Anthony V. Pollace, Chief Financial Officer — Pollace's experience includes over 30 years of senior financial and operations management positions at companies ranging from startups that went public to Fortune 500 multinationals, such as Computer Motion, Scientific Microsystems, and Litton Industries.
- Douglas C. Nassaur, Chief Information Officer — Nassaur comes to Linuxcare from E*Trade Technologies where he served as Vice President of Technical Operations. He was responsible for the implementation of their global financial services network.
- Pat Lambs, Vice President of Service Solutions — Lambs brings over 30 years of technology services experience, most recently at Ascent Logic Corporation and before that at Digital Equipment Corporation (DEC), where over the course of 18 years she built DEC's U.S.-based Professional Service Consulting Center.
- Thomas W. Phillips, Vice President of Worldwide Sales — Phillips has 25 years of senior technology sales experience at companies such as Baystone

Software/Remedy Corporation, Sterling Software, and Compugraphic Corporation

Linuxcare has a large stable of Linux gurus, including Andrew Tridgell, original author of and current team leader for the Samba software package; Paul Mackerras, a leader of Linux's port to the Power Macintosh and Fujitsu multicomputer platforms; Stephen Rothwell, leader of the advance power management driver for Linux; CTO David Sifry, who contributed code to GNU Emacs, Majordomo, and the Linux kernel; and David Welton, who maintains several packages for the Debian GNU/Linux project.

Major Industry Suppliers Continue to Seek Linuxcare Expertise

Linuxcare's in-depth technical knowledge of Linux has attracted many industry players who have engaged the firm on multiple fronts:

- Aberdeen observes that many major suppliers of hardware, software, and services have quietly sought the firm's assistance in training their own personnel.
- Dell, IBM, and Sun have publicly sought Linuxcare's technical service and support capabilities as they bring their first Linux offerings to market. Dell has contracted with Linuxcare to provide transparent back-end support for its Linux-based OptiPlex and Dimension desktop lines, its Precision workstation line, and its PowerEdge Servers. IBM has given Linuxcare the contract to support Linux on the RS/6000 line. Sun has signed Linuxcare to provide support for its first Linux offering — the Star Office suite — from the acquired German-firm Star Division. Each of these sites employs a mirrored site, e.g. www.dell.linuxcare.com, www.sun.linuxcare.com, and www.ibm.linuxcare.com. [Note: Need to verify Sun and IBM mirrors (currently not on Web). Internal use only? Ask Linuxcare.]
- Major Linux distributor TurboLinux tapped Linuxcare to provide services and support to its North American customers.
- McMillan Publishing, a retail-oriented vendor of a wide range of computer-related products, has signed Linuxcare to provide services and support for its repackaging of the Mandrake Linux distribution.
- Several book publishers, notably [Note: names coming from Linuxcare] have retained Linuxcare for technical editing expertise of soon-to-be published Linux books.
- Hitachi subsidiary Densa Techno Tokyo K.K., a Japanese integration and support services provider for consumer electronics, retail, and information systems businesses, is partnering with Linuxcare to provide high-level support for the Japanese market.
- VA Linux Systems and IBM engaged Linuxcare as a strategic partner in their E-Seminar Series. The Series targets CEOs and CIOs who need to learn the

business benefits of employing Linux as an integral part of their e-commerce push.

Aberdeen anticipates more major partnerships and contracts will be coming to Linuxcare in the near future from several avenues, including major application software vendors and some major consulting and integrator firms. [Note: To be fleshed out as soon as Linuxcare can release names]

A Services Portfolio in Step with Linux Enterprise Adoption Needs

Aberdeen finds that Linux adoption among enterprise firms is starting to accelerate overall. Business and enterprise firms are at different stages of Linux deployment. Many enterprise firms are now starting to look at Linux and have requested that IT prepare a white paper explaining Linux's strengths and weaknesses for the firm's particular needs. Other firms have had Linux servers running business-critical applications such as email for some time, using online Web resources to assist them with installing and maintaining their system, but are now moving forward with more extensive deployment. Still other firms, albeit a small number, are fairly far along in their Linux deployment throughout the enterprise and have recognized that there is insufficient in-house knowledge and manpower.

Regardless of the company's current stage, Linuxcare's services are comprehensive:

- **Linuxcare.com:** The Web site supports customers in all stages of Linux product use, from evaluating alternative solutions through maintaining installed Linux-based solutions. The interactive Linuxcare Knowledgebase contains information and fixes for most commonly encountered problems and is continually updated. The site also provides links to other Web-based technical resources for Linux-related issues, problem solving sites, and Linux "tech tips" for optimizing Linux in a multitude of environments. Although technically focused on the needs of IT implementers and developers at present, Linuxcare is in the process of stocking the site with the material oriented towards IT management and buyers. [Note: Need examples of coming features from Linuxcare.]
- **Technical Support Services:** Customized to each client's needs, Linuxcare offers a full array of support packages — Bronze, Silver, Gold, and Platinum — which vary in price level, response time, point of contact, and number of contacts, from one-time service all the way to dedicated 24 x 7 support. In addition, Linuxcare offers backline technical support, invisibly integrating with another company's resources to provide support for overflow and Linux-specific problems. Linuxcare currently offers backline support for large OEMs such as Dell Computer Corporation and TurboLinux North America. Currently all services are offered in English with their Asian support facilities targeted for completion in [Note: Need date from Linuxcare]. While primarily telephone-based at present, Linuxcare plans to

move to email and Web site support for basic questions, escalating to call center technical staff for more complex problems.

- **Professional Services:** Providing incident-specific consulting or complete on-site project management, this division will handle as much or as little of a firm's Linux IT needs as the customer would like. Linuxcare can assist with integrating Linux into any enterprises' infrastructure, with porting and development of proprietary software to Linux-based systems, and with ongoing IT systems management.
- **Linuxcare University:** Leveraging Linuxcare's guru knowledge base, this branch offers instruction on all levels of Linux development and management. The current focus is on "training the trainers." Courses include: Linux System Administration, Linux Network Administration, Linux Security, Linux Overview for Windows NT Professionals, Linux Administration for Windows NT Professionals, Extreme Samba, and Linux for Executives. Enterprises also may contract Linuxcare for custom training taught at customer-specified sites. These courses are designed to fulfill requirements set by the Linux Professional Institute's certification guidelines.
- **Linuxcare Labs:** Vendor- and distribution-neutral, this division tests functionality of hardware and software on Linux. Products that meet all testing requirements receive a "Linuxcare Labs Certified" mark. When evaluating and purchasing Linux-based solutions, customers can easily access performance results of certified products through the Linuxcare.com Web site. Notable suppliers that have sought certification and received it are Dell Computer, for all of the product lines which Linuxcare supports, and Compaq Computer for its DeskPro product line. Aberdeen expects Linuxcare Labs, still very much in its infancy, will be recruiting senior-level expertise to head this quality assurance sector of the firm.

Aberdeen Conclusions and Observations

Aberdeen is convinced by extensive market research that a credible number of IT organizations believe Linux will play a role in their future information technology infrastructure. Linux is not a flash in the pan, but rather is a market that will grow rapidly over at least the next several years.

Linux has proven itself up to the challenge inherent in enterprise applications at the server level. And it is showing signs of taking off in the desktop arena. Linux

seems well suited to taking its place as a key OS in a Web-based commerce push due to its reliability and stability.

However, the “freeware” business model for Linux open software means buyers get the support they paid for, namely little to none. In today’s enterprise IT world, an operating system with no support is a non-starter. Moreover, today’s much leaner hardware suppliers are easily convinced that support for a new but complex product can be outsourced to a well-grounded and Internet-wired services firm.

Enter Linuxcare with a portfolio of services that allows a firm at any stage — exploratory, trial run, limited deployment, full deployment — to find answers and assistance.

[Note: Section to be concluded after customer interviews are completed.]

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Based on a comprehensive analytical framework, Aberdeen provides fresh insights into the future of computing and networking and the implications for users and the industry.

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